

QUARTERLY ECONOMIC REPORT

MENA Economic Pulse

A structured read on oil dynamics, inflation, and investment flows across the MENA region — with Saudi Arabia in focus this quarter.

Depth changes the decision.

Oil & Energy

Inflation

FDI Flows

Saudi Arabia Focus

Q4 Outlook

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01 — EXECUTIVE SUMMARY

A quarter defined by one strait

The closure and fragile reopening of the Strait of Hormuz reshaped every major MENA economic indicator this quarter — from oil prices to inflation to investor positioning.

Q3 2026 was not a quarter of gradual trends. It was a quarter of one event and its aftershocks. The closure of the Strait of Hormuz, in effect since February, removed roughly a fifth of the world's seaborne oil and a comparable share of global LNG from normal circulation. Brent crude swung from the low-\$70s to above \$130 and back toward \$80, inflation paths diverged sharply between energy-secure and energy-exposed economies, and capital allocators across the region spent the quarter pricing geopolitical risk rather than fundamentals.

A US-Iran memorandum signed on June 17 commits Iran to reopening the strait toll-free for at least sixty days. As this report goes to print, reopening is underway but incomplete: mined channels, a stranded-vessel backlog of several hundred ships, and elevated war-risk insurance mean physical flows are recovering more slowly than the diplomatic headline suggests. We treat this as the defining variable for Q4.

\$81 BRENT CRUDE, JUNE 20 CLOSE — DOWN FROM A MAY PEAK NEAR \$138	112 DAYS THE STRAIT REMAINED EFFECTIVELY CLOSED BEFORE THE JUNE 17 ACCORD	9.8% 2026 MENAP INFLATION FORECAST, UP FROM A PRE-WAR PATH NEAR 7%	\$35–40bn SAUDI FDI ON TRACK FOR 2026 — A 50% INCREASE ON 2025
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What changed this quarter

- Brent round-tripped through a \$58 range as conflict, blockade, and reopening signals alternated.
- Energy-importing economies absorbed the bulk of the inflation shock; GCC exporters stayed broadly stable.
- Saudi Arabia advanced structural reforms — QFI liberalization, AI investment — through the disruption rather than pausing for it.

What we are watching into Q4

- Whether physical Hormuz flows normalize within the 60-day toll-free window or slip toward the UAE's 2027 estimate.
- Whether the follow-on nuclear talks hold, given the fragility already visible in the ceasefire's first week.
- Whether Saudi non-oil momentum offsets a fiscal breakeven oil price now estimated near \$98/bbl.

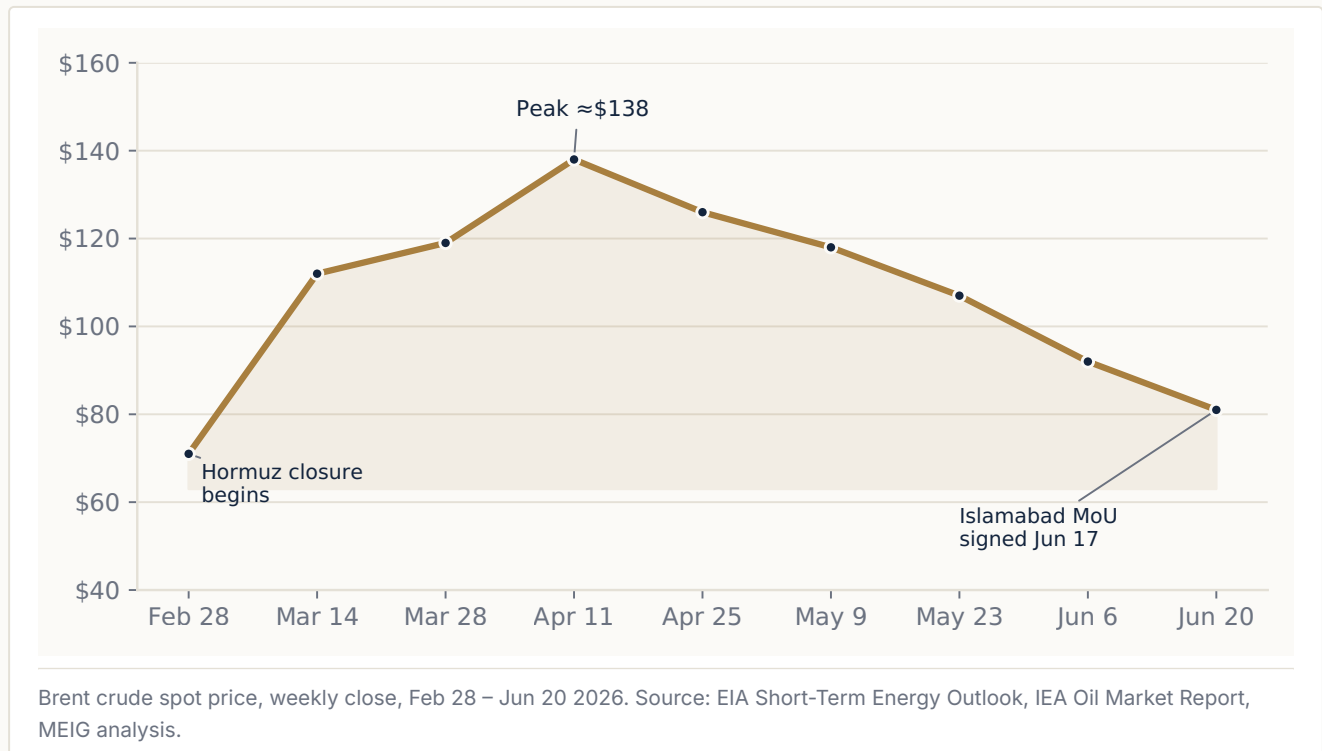
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Treat the June 17 memorandum as a ceasefire on flows, not a return to baseline — model a wide band on energy costs rather than anchoring to the post-deal price dip.

02 — OIL & ENERGY

The Hormuz shock, in one chart

Brent crude's round trip from \$71 to \$138 and back to the low \$80s traces the conflict's escalation, plateau, and fragile de-escalation almost exactly.



What happened

Strikes on Iran on February 28 triggered an IRGC closure declaration days later. Shipping through the strait — roughly 20% of global oil and a fifth of global LNG — collapsed by more than 95%. Gulf producers shut in over 11 million barrels per day at the peak, the largest single supply disruption in IEA recorded history. Physical crude briefly traded near \$150, with Singapore middle distillates touching \$290.

The June 17 Islamabad Memorandum, mediated by Pakistan, commits Iran to a toll-free reopening for at least 60 days and ends the US naval blockade of Iranian ports. Goldman Sachs has trimmed its Q4 Brent forecast to \$80, down from \$90 pre-deal.

Why it isn't over

An agreement to reopen and an open strait are different things. Roughly 80 mines remain in the central channel, clearance is estimated at four to six weeks, and several hundred vessels remain stranded on either side. War-risk insurance was still near eight times normal levels as of mid-June, and eight of the world's largest container carriers had rerouted via the Cape of Good Hope.

Saudi Aramco's own planning assumes full-capacity flows will not return until 2027, and Baker Hughes built its 2026 guidance around a strait that stays constrained through year-end. We weight our Q4 base case accordingly.

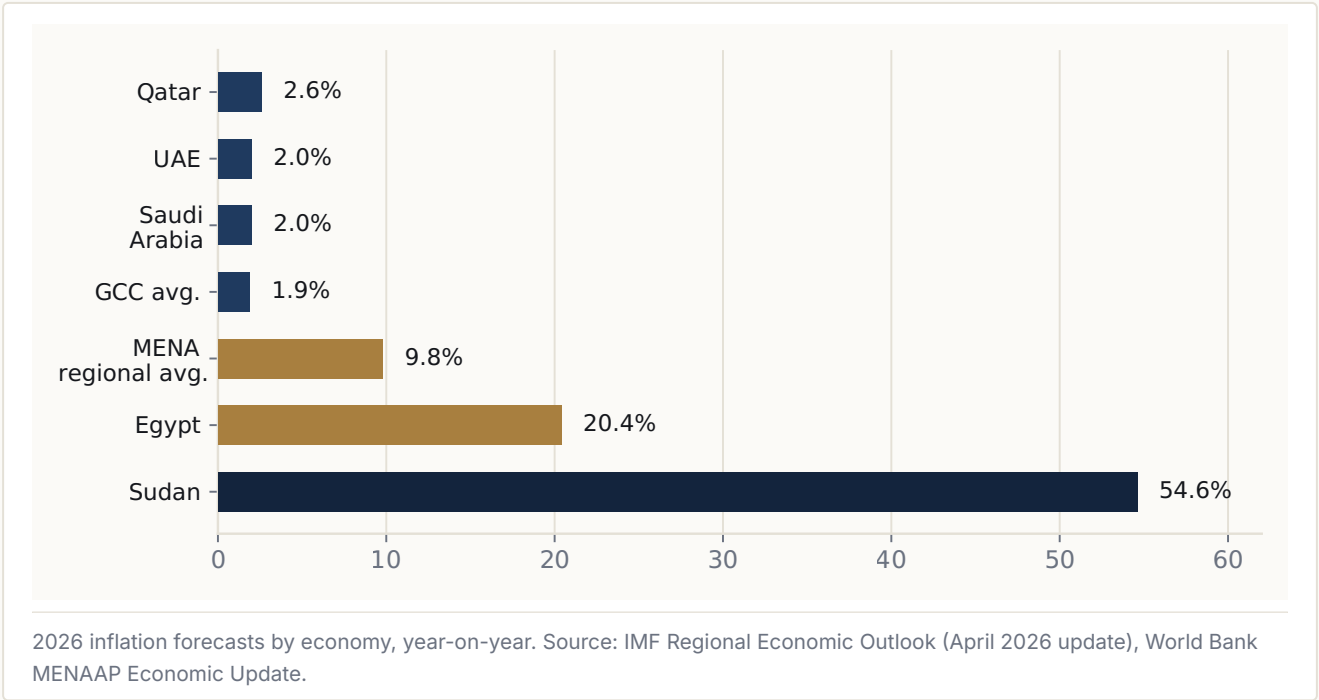
Signal to watch

Tanker transit counts through the strait, not oil price alone. Daily transits remain a fraction of the pre-crisis baseline of roughly 90–110 per day. A sustained climb back toward that range — not just a price dip — is the real signal that normalization has begun.

03 — INFLATION

One shock, two regions

The same oil shock that strains import-dependent economies barely moves the GCC. Exposure, not geography, decides who feels Q3.



The IMF's April update raised its 2026 inflation forecast for the broader MENAP region to 9.8%, up from a path closer to 7% before the conflict — but the average obscures a structural divide. GCC economies sit near 2%, insulated by subsidized energy, pegged currencies, and limited reliance on imported fuel. Energy importers absorb the shock directly: every 10% rise in oil prices is estimated to add roughly one percentage point to inflation for the average MENAP oil-importing emerging market.

ECONOMY	2026F INFLATION	PRIMARY DRIVER
UAE	2.0%	Pegged currency, subsidized energy, diversified non-oil base
Saudi Arabia	2.0%	Stable Riyal peg; limited consumer pass-through of energy costs
GCC average	1.9%	Common buffers: hydrocarbon revenue, subsidies, fiscal space
MENAP regional average	9.8%	Blended figure masking sharp intra-regional divergence
Egypt	20.4%	Import dependence, currency depreciation (~12% this episode)
Sudan	54.6%	Compounding conflict-driven fragility; food import exposure

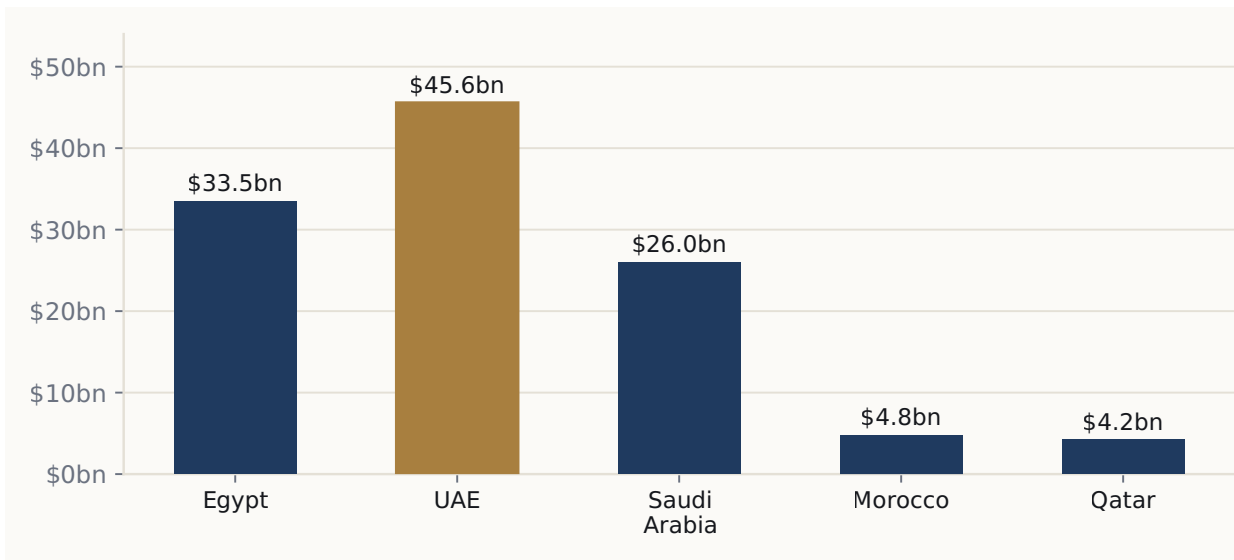
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For investors structuring regional exposure, the inflation map is also a hedging map. GCC-anchored positions carry materially less near-term price risk than positions tied to import-dependent economies — a distinction that matters more than usual while the strait remains constrained.

04 — FDI FLOWS

Capital kept moving

Unlike the oil shock, regional FDI showed limited disruption — investors distinguished between geopolitical risk and structural opportunity.



Foreign direct investment inflows, latest full-year reported figures by destination. Source: UNCTAD World Investment Report 2025, national investment authorities.

The UAE consolidates its lead

The UAE attracted \$45.6 billion in FDI in the most recent full reporting year, ranking 10th globally and capturing 37% of all inbound investment into the region — roughly \$37 of every \$100 invested in MENA now lands in the Emirates. Total FDI stock reached \$270.6 billion, a 10.5% compound annual growth rate since 2015.

Real estate and hospitality remain the deepest pools of capital, but software, business services, and renewable energy drove the largest share of new greenfield value — 1,369 projects worth \$14.5 billion, the second-highest count globally.

Egypt's outsized number

Egypt's FDI figure is the region's largest single-country inflow on record for the period, driven overwhelmingly by one mega-transaction rather than broad-based investment. Treat the headline as a signal about deal capacity, not a trend line — the project-by-project picture is considerably more modest.

Saudi Arabia's inflection

Saudi Arabia is on course for \$35–40 billion in FDI in 2026, a roughly 50% increase on 2025 — covered in depth on the next page.

WHY FDI HELD WHILE OIL SWUNG

Foreign direct investment is a multi-year commitment underwritten by regulatory trajectory, not a single quarter's headlines. Investors already committed to Gulf market-entry strategies generally stayed the course — the conflict sat outside the Gulf states' own borders, and sovereign vehicles like the UAE's and Saudi Arabia's investment funds kept signaling continuity throughout.

05 — COUNTRY FOCUS

Saudi Arabia: reform outpacing disruption

The Kingdom advanced its most significant capital-markets liberalization in years through a quarter defined by regional conflict — a sequencing choice worth examining.

4.0%

2026 REAL GDP GROWTH, IMF FORECAST

\$98

ESTIMATED FISCAL BREAKEVEN OIL PRICE PER BARREL

\$100bn

PLANNED AI & ADVANCED-TECHNOLOGY INVESTMENT THROUGH 2030

What moved this quarter

- Qualified Foreign Investor (QFI) gatekeeping was removed in February, opening passive index funds and emerging-market ETFs to Saudi holdings without special licensing — a structural shift from a boutique, relationship-driven market to a rules-based one.
- At the US–Saudi Investment Forum, xAI announced a large-scale data center build with Humain, the Kingdom's AI venture — one signal among several of technology displacing real estate as the leading edge of foreign interest.
- FDI is tracking \$35–40 billion for 2026, a roughly 50% increase on the 2025 baseline according to preliminary government figures.

What still constrains the picture

- The 49% foreign ownership cap remains in place in strategic sectors, limiting investors who specifically want control positions rather than minority stakes.
- Giga-project execution risk is real and disclosed: NEOM's flagship "The Line" has been scaled back from its original population target, and timeline adjustments have recurred across the portfolio.
- A widening fiscal deficit and an estimated \$98/bbl breakeven price mean sustained lower oil revenue — even with Hormuz reopening — would pressure the financing of megaproject capital needs.

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The Kingdom is sending a consistent signal: regulatory liberalization continues on its own timeline, independent of regional volatility. For investors evaluating Saudi entry, the more decisive variables are sector-specific ownership limits and individual megaproject delivery — not the broader geopolitical backdrop, which the government has visibly chosen not to let dictate the reform calendar.

06 — Q4 OUTLOOK

Three scenarios for Q4

The single largest swing factor for every indicator in this report is the pace of Hormuz normalization. We frame Q4 around that variable directly.

01

Orderly normalization

Mine clearance completes within the 60-day window, the stranded-vessel backlog clears through October, and war-risk insurance steps back down toward pre-crisis levels. Brent settles in a \$70–80 range; GCC inflation stays anchored; Saudi and UAE capital programs accelerate on lower input costs.

02

Slow, fragile reopening

This is our current base case. Reopening proceeds but unevenly — selective transits, intermittent closure threats tied to the wider Lebanon-Israel ceasefire, and an insurance market slow to re-price risk down. Brent oscillates in an \$80–100 band through Q4; MENAP inflation eases only modestly from the 9.8% forecast.

03

Renewed escalation

The Islamabad Memorandum is an interim, 60-day arrangement layered on a ceasefire that was itself extended only days before signing — and follow-on nuclear talks carry their own failure risk. A collapse would reinstate the closure dynamic this report has tracked since February, with Brent retesting the \$120–140 range and MENAP inflation forecasts revised up again. We assign this scenario meaningfully lower probability than scenario two, but not a negligible one — the same pattern of stated agreement followed by renewed closure has already occurred twice this year.

What we recommend tracking

Daily Hormuz transit counts against the ~90–110/day pre-crisis baseline; war-risk insurance multiples; and the status of the follow-on nuclear talks the Islamabad Memorandum sets in motion. Each is a more reliable leading indicator than the Brent spot price alone, which reacts to headlines faster than to physical flow.

BEYOND THE REPORT

This was the read. The decisions are where we work alongside you.

MEIG's quarterly reports track regional conditions. Our advisory services apply senior-led judgment to a specific decision you are facing — an idea, an investment, an acquisition, or a fast-moving change in your market.

01

Idea Readiness Check

From USD 15,000 · 3 days

02

Investment Readiness Study

From USD 35,000 · 7 days

03

Acquisition Review

From USD 45,000 · 10 days

04

Strategic Brief

From USD 18,000 · 4 days

Depth changes the decision.

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